OCR

Oxford Cambridge and RSA

GCE

Economics

H460/01: Microeconomics

A Level

Mark Scheme for June 2026

Predicted Paper – Moderate Difficulty

Subject Specific Marking Instructions

INTRODUCTION

Your first task as an Examiner is to become thoroughly familiar with the material on which the examination depends. This material includes the specification, especially the assessment objectives; the question paper and its rubrics; and the mark scheme. You should ensure that you are familiar with all relevant administrative procedures.

USING THE MARK SCHEME

This Mark Scheme is a working document. It is not exhaustive and does not provide 'correct' answers. It is an integral part of the process that begins with the setting of the question paper and ends with the awarding of grades. In your marking you will encounter valid responses which are not covered by the Mark Scheme: these must be credited. Always be prepared to use the full range of marks.

ASSESSMENT OBJECTIVES

AO1 – Demonstrate knowledge of terms/concepts and theories/models to show an understanding of the behaviour of economic agents and how they are affected by and respond to economic issues.

AO2 – Apply knowledge and understanding to various economic contexts to show how economic agents are affected by and respond to economic issues.

AO3 – Analyse issues within economics, showing an understanding of their impact on economic agents.

AO4 – Evaluate economic arguments and use qualitative and quantitative evidence to support informed judgements relating to economic issues.

Question	Answer	Mark	Guidance
1 (a)	**Explain what is meant by a 'concentration ratio'.** The proportion of total market sales / output (1) accounted for by the largest N firms in that market (1). Accept: measures the degree of market concentration by the largest firms.	**2**	Annotate with tick.

Question	Answer	Mark	Guidance
1 (b)	**Explain, using an appropriate diagram, the likely impact of rising coffee-bean prices on the market for branded coffee shop drinks.** Up to 2 marks for a correctly labelled diagram which shows: • correctly labelled S/D diagram for the market for coffee-shop drinks (1) • leftward shift in supply from S1 to S2 due to higher input costs (1) Up to 2 marks for explaining: • coffee beans are an important input for coffee shops; a rise in their price raises firms' costs of production (1) • at each price, firms are willing to supply less, causing equilibrium price to rise and quantity to fall (1)	**4**	Annotate with tick. Reward either a market S/D diagram or a cost-curve diagram; both are valid. Diagram must show clearly labelled axes and curves to gain full credit.

Question	Answer	Mark	Guidance
1 (c)(i)	**Calculate, to one decimal place, the percentage change in the National Living Wage between January 2020 and December 2023.** Correct answer: 19.5% Working: (10.42 − 8.72) / 8.72 × 100 = 1.70 / 8.72 × 100 = 19.49…% = 19.5% (1dp)	**2**	Accept 19.5% or 19.50%. Allow 1 mark for correct method with arithmetic error. No mark for unsupported correct answer without working.

Question	Answer	Mark	Guidance
	1 mark for correct method; 1 mark for correct final answer to 1 dp.		

Question	Answer	Mark	Guidance
1 (c)(ii)	**Compare the trend in coffee-shop prices with the trend in coffee-bean prices over the period shown in Fig. 1.** 1 mark for similarity; 1 mark for difference. Accept any two valid points. **Similarity:** both indices rose overall between Jan 2020 and Apr 2024 (1). **Differences (any one):** • coffee-bean prices rose faster/more sharply — +61% (100→161) vs coffee-shop prices +32% (100→132) (1) • coffee-bean prices peaked in Dec 2023 (172) then fell by Apr 2024, whereas coffee-shop prices continued to rise (1) • coffee-bean prices were more volatile / changed more rapidly than coffee-shop prices (1)	**2**	Award 1 mark max if candidate gives only similarities or only differences. Require quantitative reference (figure/period) for full marks.

1 (d) "rising Arabica and Robusta bean prices … have raised input costs." Lines 15–18. Evaluate, using evidence from the stimulus material, the effectiveness of raising the National Living Wage in supporting the real incomes of coffee-shop workers.

Level / mark	Descriptor
Level 2 **(5–8 marks)**	**Good knowledge and understanding** of relevant economic idea(s), principle(s) or model(s). **Good application** of economic concepts to the context and scope of the question, or some good use of data where appropriate. **Strong analysis** of the question characterised by consistently well-developed chains of reasoning; relevant diagram(s) which are accurate, integrated into the response and have no errors that affect the validity of the analysis. **Strong evaluation** of different perspectives on the question characterised by well-developed chains of reasoning; consideration of counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a logical and well-supported judgement.
Level 1 **(1–4 marks)**	**Reasonable knowledge and understanding** of relevant economic idea(s), principle(s) or model(s). **Reasonable application** of economic concepts to some elements of the given context and scope of the question, although possibly inconsistent or not always relevant. Relevant data may be referred to if / where appropriate. **Reasonable analysis** of the question characterised by undeveloped chains of reasoning in the form of single links; relevant diagram(s) which have errors that affect the validity of the analysis or are not integrated into the response. **Limited evaluation** of different perspective(s) on the question characterised by simple statement(s) related to counter arguments / assumptions / limitations of theory / factors that determine significance / extent; a stated judgement or the absence of a judgement.
0 marks	Response is not worthy of credit.

Question 1(d) Guidance
The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation. **Knowledge and understanding** • the National Living Wage is a legal minimum wage that must be paid to workers aged 21+ (and, until 2024, workers aged 23+) • real income is nominal income adjusted for inflation/the general price level **Application** Application of economic ideas: • cost-push inflation / firms passing on costs via higher prices • labour supply and demand analysis • elasticity of labour demand in hospitality

- substitution toward capital / self-order technology

Relevant context:

- NLW rose from £8.72 in Jan 2020 to £10.42 in Dec 2023 to £11.44 in Apr 2024 (a rise of over 31%)
- coffee-shop prices rose by 32% over the same period (Fig. 1); bean prices rose by 61%
- coffee shops have responded with price rises, reduced staff hours, self-order technology, and closures

Analysis (side to be developed as chain of reasoning)

- a higher NLW directly raises the nominal hourly pay of low-paid coffee-shop workers
- this increases their nominal weekly income and therefore, if prices are unchanged, their real income
- it may narrow the income gap between the lowest paid and median earners
- higher wages can reduce in-work poverty and raise living standards for affected workers

Evaluation

- real incomes depend on inflation, which has been high — CPI peaked above 11% in Oct 2022
- coffee shops have passed costs on in higher drink prices (+32%), eroding real purchasing power
- firms may respond by cutting hours, so total earnings could fall even though hourly pay rises
- employers may substitute capital for labour (self-order screens), risking unemployment for some workers
- small independents may struggle to absorb the rise, leading to closures and job losses

Possible judgements

- depends on the size of the rise relative to inflation — real wage gains are much smaller than nominal
- depends on the elasticity of labour demand in hospitality
- depends on the extent to which firms can substitute capital for labour
- depends on complementary policies such as tax thresholds, Universal Credit and energy bill support

1 (e)* Evaluate, using evidence from the stimulus material, the extent to which the UK coffee shop market can be considered to be an example of monopolistic competition.

Level / mark	Descriptor
Level 3 **(9–12 marks)**	**Strong knowledge and understanding** of relevant economic idea(s), principle(s) or model(s). **Strong application** of economic concepts to the context and scope of the question, using relevant and focussed examples and good use of data where appropriate. **Strong analysis** characterised by consistently well-developed chains of reasoning; relevant diagram(s) that are accurate with no errors affecting the validity of the analysis and are integral to the response. **Strong evaluation** of different perspectives characterised by well-developed counter arguments and a conclusion that weighs up both sides, considers extent and alternatives, and reaches a supported judgement. QER: the candidate expresses complex ideas with fluency and accuracy using appropriate form and economic terminology.
Level 2 **(5–8 marks)**	**Good knowledge and understanding** of relevant economic idea(s), principle(s) or model(s). **Good application** of economic concepts to the context and scope of the question, using some relevant and focussed examples and some good use of data where appropriate. **Reasonable analysis** characterised by developing chains of reasoning that explain most of the links; diagram(s) may be predominantly correct but not fully integrated into the response. **Reasonable evaluation** — counter argument(s) are considered but not fully developed; some attempt to conclude but without fully weighing up both sides. QER: the candidate expresses ideas with reasonable clarity and accuracy.
Level 1 **(1–4 marks)**	**Reasonable knowledge and understanding** of relevant economic ideas, principles or models. **Reasonable application** of economic concepts to some elements of the given context; may be inconsistent or not always relevant. **Limited analysis** in the form of single links; diagram(s) may contain errors or be loosely integrated into the response. **Limited evaluation** — simple statements of counter argument(s); stated or absent judgement. QER: the candidate expresses simple ideas clearly but is likely to be imprecise.
0 marks	Response is not worthy of credit.

Question 1(e) Guidance
Candidates should weigh features of monopolistic competition against features of alternative market structures (especially oligopoly).

Knowledge and understanding

- monopolistic competition: many sellers, low barriers to entry/exit, differentiated products, normal profit in the long run
- oligopoly: few dominant firms, interdependence, high barriers to entry, potential for collusion or price rigidity

Application — arguments the coffee market IS monopolistic competition

- large number of sellers — Fig. 2 shows over 9,500 outlets with independents accounting for ~50% of the market
- low barriers to entry — start-up costs for an independent cafe can be under £30,000 (stimulus)
- clear product differentiation — branding, décor, speciality drinks, loyalty schemes (stimulus)
- easy consumer switching between outlets (stimulus line 22)
- combined share of Big Three fell from 53% (2015) to 28% (2023) — evidence of many competing firms

Application — arguments AGAINST pure monopolistic competition

- concentration still exists — Costa (12%), Starbucks (9%), Caffè Nero (7%), Greggs (5%), Pret (4%) together hold 37%
- large chains have buying power over bean suppliers and long-term leases on prime locations (stimulus)
- some features resemble oligopoly: branded chains with strategic interdependence on pricing, promotions and locations
- Pret's subscription scheme (1.25m members) and Tesco-style loyalty features suggest attempts to lock in customers

Analysis

- apply the theoretical model: differentiation gives each firm a downward-sloping demand curve; free entry erodes supernormal profit in the long run
- rising costs (beans, wages, energy) erode profit margins — consistent with long-run normal-profit prediction
- non-price competition on quality and branding — consistent with monopolistic competition

Evaluation and judgement

- market features match monopolistic competition more closely than perfect competition or pure monopoly
- segment-level analysis — branded chain segment may be closer to oligopoly; independent segment closer to monopolistic competition
- the model is an approximation — few real-world markets fit one structure exactly
- supported judgement on 'extent' is required: market is largely consistent with monopolistic competition but with oligopolistic features in the branded chain segment

QER

- candidate must use appropriate economic terminology (e.g. differentiation, barriers to entry, normal profit, concentration ratio)
- structure should develop an argument logically from theory to evidence to judgement

2* Evaluate, using an appropriate diagram(s), whether firms in monopolistic competition are likely to be productively and allocatively efficient.

Level / mark	Descriptor
Level 5 **(21–25 marks)**	**Strong knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Strong application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Strong analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Strong evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 4 **(16–20 marks)**	**Good knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Good application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Good analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Good evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 3 **(11–15 marks)**	**Reasonable knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Reasonable application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Reasonable analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Reasonable evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 2 **(6–10 marks)**	**Limited knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Limited application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Limited analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Limited evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading

Level / mark	Descriptor
	to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 1 **(1–5 marks)**	**Weak knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Weak application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Weak analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Weak evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
0 marks	Response is not worthy of credit.

Question 2 Guidance

Knowledge and understanding
- productive efficiency: production at minimum point of AC (MC = AC); lowest cost per unit
- allocative efficiency: P = MC — resources allocated to maximise social welfare
- monopolistic competition: many differentiated sellers, low barriers, normal profit in the long run

Analysis (with diagram)
- short-run diagram: firm maximises profit at MC = MR, producing supernormal profit where P > AC
- long-run diagram: entry of new firms shifts firm's demand (AR) leftward until tangent to AC → normal profit
- in long-run equilibrium the firm produces where AR = AC, to the left of minimum AC → productively inefficient
- firm prices above MC (P > MC) → allocatively inefficient; consumer surplus lower than under perfect competition
- deadweight welfare loss relative to perfect competition

Evaluation
- firms retain some pricing power to fund product development and innovation → dynamic efficiency
- differentiation gives consumers greater choice and variety — welfare benefit not captured by static efficiency measures
- inefficiency is limited — entry threats keep profits close to normal and discipline prices
- real-world markets rarely match the theoretical model exactly — may be more or less efficient than model predicts
- comparison with alternatives: still more allocatively efficient than pure monopoly or oligopoly with collusion

Possible judgements

- firms in monopolistic competition are neither productively nor allocatively efficient in the static sense
- but may be dynamically efficient and offer greater variety than perfect competition
- overall welfare effect depends on the weight placed on choice/variety vs static inefficiency

3* Evaluate, using an appropriate diagram(s), the likely microeconomic effects of a sugar tax on the market for sugary drinks.

Level / mark	Descriptor
Level 5 **(21–25 marks)**	**Strong knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Strong application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Strong analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Strong evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 4 **(16–20 marks)**	**Good knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Good application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Good analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Good evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 3 **(11–15 marks)**	**Reasonable knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Reasonable application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Reasonable analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Reasonable evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 2 **(6–10 marks)**	**Limited knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Limited application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Limited analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Limited evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading

Level / mark	Descriptor
	to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 1 **(1–5 marks)**	**Weak knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Weak application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Weak analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Weak evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
0 marks	Response is not worthy of credit.

Question 3 Guidance
Knowledge and understanding • indirect tax: a tax on spending, imposed on producers and passed on (partly) to consumers • negative externalities of consumption: private benefit > social benefit; overconsumption in free market **Analysis (with diagram)** • draw the market for sugary drinks with MPB, MSB (below MPB), and MSC = MPC • free-market outcome at MPB = MPC overconsumes relative to social optimum; welfare loss triangle • a per-unit tax equal to the marginal external cost shifts MPC upward, reducing Q to the social optimum • equilibrium price rises, quantity falls, government revenue is generated • Soft Drinks Industry Levy (UK, 2018) — reformulation incentives and lower sugar content **Evaluation** • PED for sugary drinks is relatively inelastic — tax may have limited effect on quantity • regressive impact — lower-income households spend a larger share of income on sugary drinks • firms may absorb the tax or reformulate products (reducing tax base) — SDIL saw significant reformulation • consumers may substitute to untaxed sugary products (cakes, sweets) — limited welfare gain • black-market / cross-border purchasing risks • setting the correct tax rate requires accurate valuation of external costs — information problem

Possible judgements

- effective when combined with complementary policies (advertising bans, labelling, education)
- more effective in the long run as tastes adjust and firms reformulate
- trade-off between efficiency gains and equity concerns

4* Evaluate, using an appropriate diagram(s), whether the UK government should increase subsidies for public transport.

Level / mark	Descriptor
Level 5 **(21–25 marks)**	**Strong knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Strong application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Strong analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Strong evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 4 **(16–20 marks)**	**Good knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Good application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Good analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Good evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
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Level 2 **(6–10 marks)**	**Limited knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Limited application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Limited analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Limited evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading

Level / mark	Descriptor
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Level 1 **(1–5 marks)**	**Weak knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Weak application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Weak analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Weak evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
0 marks	Response is not worthy of credit.

Question 4 Guidance

Knowledge and understanding

- subsidy: a payment by government to producers to lower marginal cost and increase output
- positive externality of consumption: social benefit > private benefit (reduced congestion, lower emissions)
- merit good characteristics

Analysis (with diagram)

- market diagram: MPB below MSB; free market under-consumes
- subsidy to operators shifts MPC downward, reducing fares, increasing Q toward the social optimum
- welfare gain triangle as external benefits are internalised
- substitution away from private car use — reduces congestion and emissions

Evaluation

- opportunity cost of subsidy — funding must come from taxes or other cuts
- government failure — risk of subsidising inefficient operators and dampening cost discipline
- may benefit wealthier commuters disproportionately (regressive in some cases)
- effectiveness depends on PED of public transport and XED with private car use
- alternative policies: investment in infrastructure, road pricing, fuel duty, emission zones
- long-run vs short-run: investment in capacity and reliability may be more effective than price subsidies

Possible judgements

- subsidies justified where positive externalities are large (urban areas with high congestion)
- subsidies should be targeted — e.g. off-peak fares, lower-income passengers, bus services in deprived areas
- combination of subsidy and investment is more likely to be effective than subsidy alone

5* Evaluate, using an appropriate diagram(s), the likely impact of rising minimum wages on the UK labour market.

Level / mark	Descriptor
Level 5 **(21–25 marks)**	**Strong knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Strong application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Strong analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Strong evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 4 **(16–20 marks)**	**Good knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Good application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Good analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Good evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
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Level / mark	Descriptor
	to a judgement of the appropriate support (AO4). QER: expression reflects this level.
Level 1 **(1–5 marks)**	**Weak knowledge and understanding** of relevant economic idea(s), principle(s) or model(s) (AO1). **Weak application** of economic concepts to the context and scope of the question, with relevant examples and use of data where appropriate (AO2). **Weak analysis** characterised by chains of reasoning of the appropriate depth; relevant diagram(s) that are integral to the response and whose accuracy reflects this level (AO3). **Weak evaluation** of different perspectives on the question — considering counter arguments, extent, assumptions and limitations — leading to a judgement of the appropriate support (AO4). QER: expression reflects this level.
0 marks	Response is not worthy of credit.

Question 5 Guidance

Knowledge and understanding
- minimum wage: a statutory wage floor set above the market-clearing wage
- labour demand, labour supply and market equilibrium
- NLW rose from £8.72 (2020) to £11.44 (2024) — a rise of over 31%

Analysis (with diagram)
- competitive labour market: minimum wage above equilibrium causes excess supply of labour → unemployment
- firms facing higher costs may reduce hours, substitute capital for labour, raise prices
- monopsony case: minimum wage can raise both wages and employment up to a point
- higher wages raise income, which may raise AD and demand for labour in consumption-facing sectors

Evaluation
- elasticity of labour demand: low-skilled/hospitality demand may be inelastic in short run
- regional variation: NLW may bind more tightly in lower-wage regions (North East vs London)
- empirical evidence (Dube, LPC reports): small employment effects, meaningful income gains
- employers may cut non-wage benefits, training, or hours — offsetting gains
- rising automation (self-order screens, etc.) may be accelerated
- effects on productivity — firms may invest and innovate to justify higher wages

Possible judgements

- overall employment effects are modest but income gains for low-paid workers are substantial
- effectiveness depends on the size of the increase, PED of labour, and macroeconomic conditions
- combination with in-work benefits and training is more effective than minimum wage alone

Assessment Objectives (AO) Grid

Question	AO1	AO2	AO3	AO4	Total
Question	AO1	AO2	AO3	AO4	**Total**
1(a)	2	0	0	0	**2**
1(b)	2	1	1	0	**4**
1(c)(i)	0	2	0	0	**2**
1(c)(ii)	0	2	0	0	**2**
1(d)	2	2	2	2	**8**
1(e)*	3	3	3	3	**12**
2* / 3*	4.5	5	6.5	9	**25**
4* / 5*	4.5	5	6.5	9	**25**
Totals	18	20	20	22	**80**